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China Financials | Asia Pacific

New Consultation Paper on RMB Deposit and Loan Interest Rate Management Rules to Support Fair and Market-oriented Pricing

Key Takeaways

- On June 5, PBOC issued draft RMB Deposit and Loan Interest Rate Management Rules, indicating more market-based pricing and fair competition.
- It clarified responsibilities of financial institutions and PBOC; FIs may independently set deposit/loan rates based on PBOC rules and commercial principles...
- ...while PBOC and its branches should strengthen supervision and guide the market interest rate self-regulatory mechanism.
- Banks are explicitly prohibited from high-interest deposit solicitation, as it could lead to disorder in deposit market competition.
- Lenders must clearly display annualized loan rates (where loan cost should include interest and fees directly related to loans) and penalty annualized rates.

An update to the 1999 framework to reflect comprehensive management system for loan and deposit rates: The rules were drafted to adapt market-oriented interest rate reform and consolidate various rules on interest calculation, settlement and institutional responsibilities. The rules standardize interest rate calculation, change penalty-rate add-ons to negotiated penalty rates, and remove management on interest rates other than loans and deposits.

More importantly, this sets up a clear rule book for market-based pricing with a clear message to combat unfair/illegal competition:

- Loan cost should include interest and fees directly related to loans.
- High-interest deposit solicitation is clearly banned, including illegal manual interest supplements, breaching self-regulatory caps and deposit-loan linkage.

We view this positively for bank NIM trends on both the asset yield and funding cost sides, as it should support continued revenue recovery and stable profit growth at Chinese banks.

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Industry View

Attractive

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	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1542	42%	465	51%	30%	707	43%
Equal-weight/Hold	1571	43%	369	40%	23%	723	44%
Not-Rated/Hold	3	0%	0	0%	0%	1	0%
Underweight/Sell	551	15%	86	9%	16%	201	12%
Total	3,667		920			1632	

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China Merchants Securities Co Ltd (600999.SS)	U (09/29/2022)	Rmb16.89
China Merchants Securities Co Ltd (6099.HK)	U (10/29/2024)	HK\$14.74
CITIC Securities Co. (6030.HK)	E (10/29/2024)	HK\$25.26
CITIC Securities Co. (600030.SS)	O (08/07/2025)	Rmb25.67
East Money Information Co Ltd (300059.SZ)	E (09/19/2025)	Rmb18.52
Futu Holdings Ltd (FUTU.O)	O (11/18/2024)	US\$92.33
Galaxy Securities (6881.HK)	E (02/27/2020)	HK\$7.64
Galaxy Securities (601881.SS)	U (09/29/2022)	Rmb12.10
GF Securities (000776.SZ)	E (08/07/2025)	Rmb18.81
GF Securities (1776.HK)	E (01/06/2023)	HK\$15.94
HTSC (601688.SS)	E (09/23/2024)	Rmb18.85

HTSC (6886.HK)	E (09/23/2024)	HK\$16.31
Richard Xu, CFA		
Agricultural Bank of China Limited (601288.SS)	E (05/07/2019)	Rmb6.36
Agricultural Bank of China Limited (1288.HK)	O (10/19/2020)	HK\$5.83
Bairong Inc. (6608.HK)	E (09/09/2025)	HK\$5.56
Bank of Beijing Co Ltd (601169.SS)	E (08/17/2022)	Rmb5.14
Bank of Chengdu Co Ltd (601838.SS)	O (08/17/2022)	Rmb19.04
Bank of China Limited (601988.SS)	E (05/07/2019)	Rmb6.05
Bank of China Limited (3988.HK)	O (01/10/2020)	HK\$5.31
Bank of Communications (3328.HK)	U (05/20/2022)	HK\$7.43
Bank of Communications (601328.SS)	U (09/05/2014)	Rmb6.83
Bank of Hangzhou Co Ltd (600926.SS)	E (08/17/2022)	Rmb15.85
Bank of Ningbo Co. Ltd (002142.SZ)	O (08/17/2022)	Rmb30.56
China CITIC Bank Corporation Limited (601998.SS)	E (04/16/2025)	Rmb7.37
China CITIC Bank Corporation Limited (0998.HK)	O (04/16/2025)	HK\$7.46
China Construction Bank Corp. (0939.HK)	O (10/11/2012)	HK\$8.72
China Construction Bank Corp. (601939.SS)	E (05/07/2019)	Rmb10.22
China Everbright Bank Co Ltd (6818.HK)	U (05/12/2023)	HK\$3.22
China Everbright Bank Co Ltd (601818.SS)	U (05/20/2022)	Rmb3.13
China Merchants Bank (600036.SS)	O (01/07/2019)	Rmb38.58
China Merchants Bank (3968.HK)	O (09/20/2018)	HK\$48.18
China Minsheng Banking Corp. (600016.SS)	O (08/28/2025)	Rmb3.57
China Minsheng Banking Corp. (1988.HK)	O (05/12/2023)	HK\$3.46
Chongqing Rural Commercial Bank (3618.HK)	U (05/12/2023)	HK\$6.45
Hua Xia Bank (600015.SS)	U (06/30/2015)	Rmb6.83
Industrial and Commercial Bank of China (1398.HK)	O (08/09/2013)	HK\$6.83
Industrial and Commercial Bank of China (601398.SS)	E (09/19/2022)	Rmb7.34
Industrial Bank Co. Ltd. (601166.SS)	O (02/25/2019)	Rmb18.60
Lufax (LU.N)		US\$1.45
Ping An Bank (000001.SZ)	O (05/07/2019)	Rmb10.98
Postal Savings Bank of China Co Ltd (1658.HK)	O (11/01/2016)	HK\$5.04
Qifu Technology Inc (QFIN.O)	O (08/25/2020)	US\$14.53
Shanghai Pudong Development Bank (600000.SS)	E (08/05/2025)	Rmb9.34

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.